

HEDGEYE DAILY DIGEST

Thursday, 20 August 2026 (GMT+8)

Reader timezone: GMT+8. Hedgeye publishes on EDT (UTC-4); add 12 hours to convert. Items published after 12:00 PM EDT on 19 August fall into "Today" (20 August GMT+8); everything earlier that morning lands in "Yesterday" (19 August GMT+8) — which is why the Early Look sits in the second section despite being the freshest flagship note.

Top line. Keith McCullough spent last Thursday adding shorts into an intermediate-term overbought tape — and after three consecutive down days he has now **covered most of them and is buying longs again**. The core macro trade is unchanged: **short the U.S. dollar, long Euro (FXE), Yen (FXJ) and Gold (AAAU)**, with profit-taking on the euro leg into an overbought condition. Meanwhile Asian momentum snapped hard overnight — **KOSPI -5.8%, Japan -3.2%, China -2.4%** — vindicating Hedgeye's refusal to chase it, while the **long Healthcare vs. short High Beta Momentum** factor pair delivered the day's cleanest alpha.

TODAY'S PUBLICATIONS — 20 August 2026 (GMT+8)

THE MACRO SHOW — SUMMARY NOTES & REPLAY

The Macro Show · 19 Aug 2026, 12:08 PM EDT (20 Aug, 00:08 GMT+8)

The most consequential item of the day was a **positioning shift, not a thesis change**. Keith disclosed that he began adding shorts **last Thursday** as markets became intermediate-term overbought and upside compressed. Three down days later his stance reversed: *"Now I've covered most of my shorts and I'm buying longs."* He framed this as a function of reduced downside after the correction rather than a directional call on the market. Supporting evidence: **volume was decelerating** into the third day of the decline while volatility conditions had not materially deteriorated, and Tier 1 Alpha's **7649 flip line** kept gamma positive — a textbook buy-dips / sell-rips configuration.

On currencies, the **short dollar** position remains the core macro trade, held alongside simultaneous longs in the **euro** and the **yen**. The dollar was trading near the low end of its Risk Range while the euro sat near the top of its own — so Keith is **booking gains on the euro and trimming the short-dollar side**. This is profit-taking on an overbought/oversold immediate-term condition, explicitly *not* a reversal of the dollar-down thesis. **Gold (AAAU)** is the third leg of the same trade; he added on both recent down days and described gold as strongly inversely correlated with the dollar on a trending basis.

Asia was the overnight story. **South Korea** failed back below its TRADE Momentum signal after briefly clearing it, **Japan** broke TRADE as a strengthening yen weighed on a market historically levered to yen weakness, and **China** failed at TREND. Keith was emphatic that Hedgeye is **not long Japan, China or South Korea** — Asian exposure runs through **New Zealand (ENZL)** and the **Philippines (EPHE)** instead. The lesson he drew: don't chase momentum simply because an asset briefly clears a conventional technical threshold.

The factor trade did the work. **Healthcare (XLV)** closed **+1.6%** on the session while the **High Beta Momentum basket** was hit hard. Keith reiterated a preference for owning differentiated factors over the crowded consensus basket, and pointed to **dividend stocks and small-cap dividend exposure** as areas that had been working. He was explicit that he did **not** want to buy the **S&P 500** or **Nasdaq** merely because they had corrected — the buy list was specific: **IGV, QTUM, ROBO** and **JEDI** as non-consensus U.S. growth exposures on the dip. **META** sits on the Signal Strength *short* list. **Eli Lilly (LLY)** is now the longest-standing Signal Strength long in managed accounts: *"We don't own Meta. We own Lilly."*

On countries, **Colombia (COLO)** was the highlight, with **GDP accelerating to +3.5% YoY from +2.2%** and the market at an all-time high. **Brazil (EWZ)** was named the only problem position out of roughly **30 positions** —

HEDGEYE DAILY DIGEST

Thursday, 20 August 2026 (GMT+8)

Keith said he had been wrong so far and floated exiting that day (the ETF Pro change below confirms it). **Qatar (QAT)** remains the portfolio's only country short.

In commodities, **Gold** held Bullish TRADE and TREND — Keith noted that maintaining both signals is what perpetuates a move. New: **buy copper near the low end of its Risk Range**, with a position being built in **ICOP**. He also flagged strengthening agricultural commodities — **butter, barley, palm oil** — as part of a broader Quad 3-style commodity breakout spanning energy and agriculture.

Finally, he rejected the bearish labor narrative outright, citing demographic and immigration effects on participation and arguing recent data showed broadening improvement and further tightening. His conclusion: **labor bears have been wrong**, and the data remains consistent with Hedgeye's transition toward **Quad 1 and Quad 2**. No positioning change required. On small caps his answer was one word — *"It's bullish."* The **Russell 2000** remains Bullish TRADE and TREND, and the top of its Risk Range would be a **new all-time high**.

Positions mentioned — **Bullish:** FXE, FXY, AAAU, XLV, ENZL, EPHE, IGV, QTUM, ROBO, JEDI, LLY, COLO, EWZ, CPER/ICOP. **Bearish:** UUP, XLU, QAT.

MODEL PORTFOLIO CHANGES | EFFECTIVE 8/19/2026

Capital Allocation Pro · 19 Aug 2026, 12:31 PM EDT (20 Aug, 00:31 GMT+8) · Robert McGroarty, Andrew Nanai, David Salem

Changes take effect using **closing prices on Wednesday, 19 August 2026**. The structurally notable item is the **elimination of three longstanding 1% "placeholder" positions in fixed income**. The placeholder convention originally existed to reduce workload for subscribers deploying capital alongside Model Portfolio changes; the team has now **retired the concept entirely** while reaffirming its commitment to keeping the Model Portfolios investable and fully transparent.

Supporting materials referenced: a **Key Callouts video recorded 6 August 2026**, the **August 2026 Monthly Commentary** posted 5 August, and **refreshed TREND and TAIL levels for all 68 ETFs** rebuilt off **31 July** closing prices. A **UCITS-equivalent mapping** of current ETF holdings is available for European subscribers, alongside a full subscriber FAQ.

SIGNAL STRENGTH STOCKS: 90 STOCKS (3 ADDED, 3 REMOVED)

Signal Strength Stocks · 19 Aug 2026, 12:02 PM EDT (20 Aug, 00:02 GMT+8)

The list expands to **90 names**. **Added: SBUX, HD, GO** — a distinctly consumer-tilted trio (Starbucks, Home Depot, Grocery Outlet) that fits the Quad 3 consumer framing in the Early Look. **Removed: ONTO, VIK, RCL** — semis-capex and cruise/travel names rolling out of signal.

YESTERDAY'S PUBLICATIONS — 19 August 2026 (GMT+8)

EARLY LOOK — "ALWAYS CHECK THE TREETOPS"

Early Look · 19 Aug 2026, 7:47 AM EDT (19 Aug, 7:47 PM GMT+8) · Matthew Cooper

What: The flagship daily macro note, built around a golf metaphor — throwing grass in the air tells you what the wind is doing at three feet, but the ball flies at **60 to 100 feet**, where the wind is often stronger, colder, or blowing a different direction entirely. Cooper's argument: everyone expecting an immediate **housing** recovery is reading the grass, not the treetops.

Why: The consensus case for housing looks reasonable on the surface — rate-hike expectations have come down, the **UST 2yr Yield** is signalling **Neutral TREND**, CPI prints have been disinflationary and jobs data dovish. But nobody finances a house with the 2-year. The wind the ball is actually flying in: the **UST 10yr Yield is still Bullish TREND**, the **UST 30yr Yield is still Bullish TREND**, and **10s minus 2s has steepened to +53bps from +25bps in late June**. Housing doesn't need a dovish Fed nearly as much as it needs the long end to come in — and nothing is currently bringing it in.

Quad positioning: Inflation risk still outranks recession risk. **Seven of the next eight months** carry a **50%+ conditional probability** of Real PCE accelerating sequentially, and **3 of the next 5 months** carry a **50%+ conditional probability** of inflation accelerating sequentially (**September currently at 49%**). Two structural forces reinforce the steepening: Treasury issuance is increasingly anchored on the **short end**, where T-Bills add cash-like collateral and support liquidity while shifting financing away from duration; simultaneously **AI-related capex** is creating fresh corporate duration supply at the long end. That same dynamic is why **Gold is Bullish TRADE and TREND at the same time the 30yr is**.

Key numbers: Hedgeye's CPI Nowcast expects an **11bp acceleration** in headline CPI YoY on **11 September**. The model carries **Headline CPI at 3.43% in 3Q26** and **3.61% in 4Q26**, and it does not break meaningfully lower until **2Q27 at 1.72%** — that is the disinflationary backdrop housing actually needs. On fundamentals, drawing on a hosted call with **Ed Pinto of AEI** alongside **Josh Steiner** and **JT Taylor**: mortgage rates have been stuck in a **6-7% band since mid-2022**, with no expectation of 5% anytime soon; **purchase lock volume is down 31%** versus the same week in 2019; **existing home sales are running roughly 18% below 2019**; and **June HPA was +1.6% YoY nominal but roughly -2.5% in real terms**, with **42 of the 54 largest metros negative** on an inflation-adjusted basis.

Takeaway: This is not a permanent call against housing — housing is one of the best ways to play the disinflation trade, but **timing matters** and the entry is later. In the meantime, own the steepening curve through **Financials**, where the Position Monitor is as long-tilted as it has been in a while: **15 Best Idea Longs against 4 Best Idea Shorts**, and **two of those four shorts are housing names**.

Risk Range™ Signals

Asset	Risk Range	TREND
UST 10Y Yield	4.63 - 4.74%	Bullish
High Yield (HYG)	79.18 - 79.78	Bullish
IG Corporate Bonds (LQD)	105.3 - 106.6	Bearish
S&P 500 (SPX)	7,652 - 7,811	Bullish
NASDAQ Composite (COMPQ)	26,104 - 26,899	Bullish
Russell 2000 (RUT)	7992 - 3083 *as published	Bullish
Health Care (XLV)	166 - 172	Bullish
S&P 500 Equal Weight (RSP)	218.00 - 224.00	Bullish

Asset	Risk Range	TREND
Expanded Tech-Software (IGV)	99.00 - 107.00	Bullish
Volatility Index (VIX)	14.00 - 16.63	Bearish
U.S. Dollar Index (USD)	99.11 - 100.09	Bearish
WTI Crude (WTIC)	79.51 - 87.46	Bullish
Natural Gas (NATGAS)	2.59 - 2.89	Bearish
Gold Spot (GOLD)	4,296 - 4,446	Bullish
Copper Spot (COPPER)	6.38 - 6.70	Bullish
Silver Spot (SILVER)	62 - 66	Neutral

The Russell 2000 range is reproduced exactly as published; the lower bound appears to contain a typographical error in the source.

KM'S TOP 3 THINGS (USD / ASIA / FACTORS)

From The Desk · 19 Aug 2026, 7:31 AM EDT (19 Aug, 7:31 PM GMT+8) · Keith McCullough

What: McCullough's three-point morning note, opening with a jab at the momentum crowd — *"Mo Monkeys having flashbacks from getting smoked in July."*

Why & Who: On **USD**, the argument for not getting smoked is to be able to **#GoAnywhere**, keep moving, and follow the flows to where the next momentum chase forms. He notes that in **27 years** of doing this it is rare to be long **Euros (FXE)** and **Yens (FXY)** simultaneously — the position sits against short **USD (UUP)** and long **Gold (AAU)**, with gold **+0.8%** that morning after what he called a nice buying opportunity the prior day.

On **Asia**, levered-long momentum got hurt: **South Korea's KOSPI -5.8%** after breaking the **@Hedgeye TRADE Momentum Signal of 6798**; **Japan -3.2%** after breaking its **TRADE** signal, disliking the plans for the yen; **China -2.4%** failing at **TREND**.

On **Factors**, the pair trade was the story — **long Healthcare vs. short High Beta Momentum** produced *"big time alpha"* with **XLV +1.6%** on the day against a **High Beta Mo basket down -6.4% to -11.4% over the last month**. The retail Consensus Basket fell another **-4.0%** on the day, leaving it **flat year-to-date**. His dip-buying list for non-consensus U.S. growth: **IGV, QTUM, ROBO, JEDI**.

Key numbers: Immediate-term Risk Ranges — **SPX 7,652-7,811**; **UST 10yr Yield 4.63-4.74%**.

Takeaway: Stay short the dollar, own the anti-momentum factor pair, and buy the non-consensus growth ETFs on weakness rather than chasing what just broke.

UPDATE: 3 NEW ETF PRO CHANGES

ETF Pro Plus · 19 Aug 2026, 10:51 AM EDT (19 Aug, 10:51 PM GMT+8)

What: Three real-time changes to the ETF Pro Plus book.

Key numbers & moves: **Adding Long — US Extended Market (VXF)**, signalling bullish **TRADE/TREND** near the low end of its Risk Range. **Removing Long — Brazil (EWZ)** at **33.74 - 35.61**, which confirms the exit Keith floated on the Macro Show hours earlier. **Removing Short — US Large Cap Long-Short Equity (LSEQ)** at **32.0 - 34.6**, i.e. cover the short.

Takeaway: The mid-cap/small-cap extension trade (**VXF**) is being added just as the Russell 2000 holds Bullish **TRADE** and **TREND** — consistent with the broadening-out, non-mega-cap theme running through every publication this session. Brazil is out.

SIGNAL STRENGTH STOCKS: 90 STOCKS (6 ADDED, 5 REMOVED)

Signal Strength Stocks · 18 Aug 2026, 1:38 PM EDT (19 Aug, 1:38 AM GMT+8)

What: A larger reshuffle the prior session. **Added:** JBS, MRVL, URI, ATRO, NBIS, GRUSF.

Takeaway: Breadth in the signal list expanded materially across food, semis, industrial rental and aerospace before the following day's tighter 3-in/3-out adjustment.

CRYPTO QUANT | BTC (-0.1%)

Bitcoin Trend Tracker · 19 Aug 2026, 8:16 AM EDT (19 Aug, 8:16 PM GMT+8) · Josh Steiner, Christian Drake, Matthew Cooper

What: An abbreviated edition — the authors are travelling this week, so content is **limited to Risk Range updates**, with on-chain and anecdotal sections resuming next week.

Key numbers: BTC -0.1% overnight against the Bloomberg CFIX reference rate. **Takeaway:** No new crypto signal to act on; treat as a placeholder edition.

MOMO TRACKER | MAG7 (-1.1%), 5 OF 8 RRS DOWNSIDE>UPSIDE

Momentum Stock Tracker · 18 Aug 2026, 8:54 AM EDT (18 Aug, 8:54 PM GMT+8) · Christian Drake, Ryan Ricci

What: The momentum dashboard for the mega-caps. The body is chart-based, so the headline carries the signal.

Key numbers: Mag7 -1.1%; 5 of 8 Risk Ranges show downside exceeding upside; TSLA carries the widest negative skew at -8.6%.

Takeaway: The asymmetry across mega-cap momentum was already unfavourable heading into the three-day drawdown — corroborating the short-High-Beta side of the factor pair that worked the following session.

ALSO PUBLISHED

Various · 19 Aug 2026

The Macro Show episode with **Keith McCullough & Institutional Salesperson Emma Vlasic** (19 Aug, 7:22 AM EDT) plus the slide deck and Top 3 Things access post (8:35 AM EDT); *Capital Allocation Pro* **Daily Dashboard | Model Portfolios** (9:20 AM EDT); and *Digital Assets* **L1 Watch | Weekly Update** chart book (7:00 AM EDT). These are dashboard, replay and chart-book items without standalone written narrative.